

# Contracts and Contract Law in Michigan

## STUDY SHEET

### Basic Types of Contracts

A **contract** is an agreement between competent legal parties to do or refrain from doing some legal act in exchange for consideration

**Express vs. implied**

**Bilateral vs. unilateral**

**Executed vs. executory**

**Valid vs. invalid**

**Enforceable vs. unenforceable**

**Void vs. voidable**

### Rules for Interpreting a Contract

- Executed contract trumps previous negotiations and stipulations (parol evidence rule)
- Hand-written insertions trump typed insertions, which trump pre-printed text
- Specific information trumps general
- Numbers spelled out (one) trump numerals (1)

### Wild Card

#### Ways to Terminate an Offer

- Withdrawal
- Insanity
- Lapse of time
- Death
- Counter-offer
- Acceptance
- Rejection
- Destruction of the property

### Statutes to Know

**Statute of Fraud**

**Statute of Limitations**

### Essential Elements of a Valid Contract

Legally competent parties Legal purpose Offer and acceptance consideration

### Contracts Important to Real Estate

- Buyer representation agreements
- Listing agreements
- Sales contracts
- Land contracts
- Option contracts

### Ways to Discharge (End) a Contract

**Performance**

**Rescission**

**Release**

**Reformation**

**Assignment**

**Novation**

**Breach**